Contribution margin checklist for Indian D2C brands

Revenue tells you how big you are. Contribution margin tells you whether each order makes money. Use this with the Marginwise Margin Calculator.

Investors now ask Indian D2C founders for repeat rate, LTV:CAC and contribution margin rather than GMV (Inc42, D2C 3.0 report, 2026).

Count every cost per order

- [ ] Revenue excluding GST, at the price the customer actually paid
- [ ] Product cost (COGS) for delivered orders
- [ ] Ad cost per order placed, including orders that later return to origin
- [ ] Forward shipping and packaging on every order
- [ ] Return shipping and damaged stock on every RTO
- [ ] COD handling fees on delivered COD orders
- [ ] Payment gateway fees on prepaid orders
- [ ] Discounts and prepaid incentives

Plan the cash

- [ ] Add 18% GST to your ad budget in the cash-flow plan; if Meta or Google Ireland bills you, it is paid under reverse charge before you claim credit
- [ ] Confirm the GST treatment with your CA

Decide

- [ ] Work out contribution per SKU and per channel, not only for the store as a whole
- [ ] Test a prepaid incentive with the scenario column before rolling it out
- [ ] Review price or stop promoting SKUs with negative contribution

Want us to check your numbers?

Comment **MARGIN** for the calculator, or book a free 30-minute call at **marginwise.in**.

Sources: growthlife.in (GST reverse charge on foreign ad billing, Sep 2026); Inc42 D2C 3.0 report, via Backstage with Millionaires (Jun 2026). Not tax advice.